

ABC Electronics — HR Policy Manual & Employee Handbook

Document Owner: Human Resources Department
Jurisdiction: India
Effective Date: 1 April 2025
Review Cycle: Annual (or earlier on legal or business change)
Version: 2.1

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1. Introduction

Purpose

This manual defines employment policies, employee standards, people processes, and statutory compliance obligations for ABC Electronics and its wholly owned subsidiaries in India. It is designed to support employees, managers, and HR teams with a single reference for all HR-related matters.

Scope

This manual applies to all permanent employees, probationary employees, fixed-term employees, trainees, and interns on the rolls of ABC Electronics. Contract labour arrangements are governed separately under the applicable contractor agreements, though certain duties of the principal employer apply and are noted where relevant.

Remote and hybrid employees follow the same policies unless a specific policy annex provides a different arrangement for their role.

HR Philosophy

ABC Electronics believes in combining legal compliance, fair treatment, performance orientation, inclusion, and employee experience. We aim to be an employer of choice in the appliance and engineering manufacturing sector — building careers, not just filling positions.

Policy Governance

- HR owns policy administration and is the first point of contact for all policy queries
- Legal approves statutory interpretations and reviews policy before major updates
- Department heads maintain process-specific annexures where applicable
- No policy deviation may reduce an employee's statutory entitlements

2. Employment Categories

Category	Relationship	Core Benefits	Key Notes
Permanent	Employer–employee	Full policy eligibility	Confirmed after probation
Probationary	Employer–employee	Statutory + limited discretionary	Subject to confirmation review
Fixed-Term (FTE)	Employer–employee	Statutory; gratuity after 1 year of service	Ends at contract expiry
Contract Labour	Via contractor (principal employer duties apply)	Per contractor/legal applicability	No implied absorption
Intern / Trainee	Training arrangement	Stipend + structured learning	No automatic employment promise
Consultant	Independent contractor	Per services agreement	Not on employee payroll

3. Recruitment & Hiring

Requisition and Approval

All hiring must be initiated through a formal manpower requisition approved by the department head and HR. Approvals are required against the annual manpower plan and budget.

Job Descriptions

Every role must have an approved job description covering: role purpose, key responsibilities, reporting line, qualifications, experience range, behavioural expectations, and work location / mode.

Non-Discrimination

ABC Electronics does not discriminate on the basis of gender, religion, caste, age, disability, or any other protected characteristic in recruitment, selection, or compensation. We comply with the Code on Wages prohibition on gender-based pay discrimination for same or similar work.

Pre-Employment Requirements

Before joining, the following documentation is collected:

- Government-issued identity proof
- PAN card
- Aadhaar (where legally required for statutory enrolment)
- Educational certificates and mark sheets
- Prior employment proof and relieving letter
- Bank account details for salary credit
- Emergency contact details
- Nominee details for statutory benefits

Background verification is conducted on all permanent hires and is proportionate to the role's access and responsibility level.

Offer and Appointment

All selected candidates receive a formal offer letter specifying: role title, reporting structure, CTC and salary breakup, work location, probation period, notice period, and joining deadline. On joining, an appointment letter is issued which is the binding employment document.

4. Onboarding

Day-One Process

- Document collection and verification
- Signing of employment contract, NDA, and code of conduct acknowledgement
- IT provisioning (email, laptop, access cards)
- Plant/office induction and safety briefing
- Introduction to team and reporting manager

Probation Period

- Standard probation: 6 months for all new hires
- Probation may be extended by up to 3 months at the manager's and HR's discretion if performance is not yet meeting expectations
- Confirmation requires a formal written review and HR approval
- Statutory rights (including EPF, ESI, and maternity benefit) apply during probation

5. Working Hours & Attendance

Standard Working Hours

Category	Standard Hours	Work Days
Corporate / Head Office	9:00 AM – 6:00 PM	Monday–Friday (Saturday optional as per function)
Manufacturing Plant	Shift-based (8 hours per shift)	6 days/week

Sales / Field	Flexible with manager approval	As per territory requirement
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Working time for plant workers follows the 8-hours-per-day and 48-hours-per-week limits as required under the Occupational Safety, Health and Working Conditions Code.

Overtime

Overtime beyond 8 hours per day or 48 hours per week is compensable at twice the normal wage rate for eligible workers under the applicable labour code provisions. Overtime must be pre-approved by the department head and recorded in the attendance system.

Managerial staff at a certain grade and above are not covered by overtime provisions and instead receive compensatory off at manager and HR discretion.

Attendance

- Corporate employees: Attendance recorded via biometric + HR system
- Field employees: System login time, customer visit logs, and manager certification
- Remote employees: System login, task completion, and manager certification

Employees are expected to mark attendance accurately. Misrepresentation of attendance is a disciplinary matter.

Late Arrivals and Regularisation

- 3 late arrivals per month: Warning from manager
- More than 3: HR review; may lead to loss of pay for the day
- Regularisation requests (for genuine reasons): Must be submitted within 3 working days with manager approval

6. Leave Policy

Leave Types and Entitlements

Leave Type	Entitlement	Carryforward	Encashable
Earned Leave (EL) / Privilege Leave	15 days per year	Up to 30 days	Yes, on separation
Casual Leave (CL)	8 days per year	Not carried forward	No
Sick Leave (SL)	7 days per year	Up to 15 days	No
Maternity Leave	26 weeks (eligible employees)	N/A	No
Paternity Leave	5 days (company policy)	No	No
Bereavement Leave	3 days (immediate family)	No	No
Marriage Leave	3 days (once during service)	No	No

Leave Without Pay (LWP)	On approval, beyond leave balance	N/A	N/A
Compensatory Off	Against approved overtime / extra days	Within 90 days	No

Key Leave Rules

Earned Leave:

- Accrues at 1.25 days per month (15 days annually)
- Minimum 3 days EL per application; 1 day at manager's discretion for urgent need
- Must be applied for at least 7 days in advance except for emergencies
- Cannot be clubbed with casual leave in the same application

Maternity Leave:

- Eligible employees (minimum 80 days' service in the preceding 12 months) are entitled to 26 weeks of paid maternity benefit
- No dismissal or disciplinary action may be initiated for absence on maternity leave
- Medical bonus of ₹3,500 is paid to eligible employees in lieu of pre-natal and post-natal nursing expenses if no medical facility is provided by the company
- Two nursing breaks (in addition to regular rest intervals) are provided until the child reaches 15 months of age
- Creche facility is available at our manufacturing locations employing more than 50 workers

Leave Application: Apply through the HR self-service portal. Emergency leave must be communicated to the reporting manager on the same day and documented within 3 working days of return.

7. Compensation & Benefits

Salary Structure

A typical salary structure at ABC Electronics includes:

Component	Notes
Basic Salary	40–50% of CTC; base for statutory calculations
House Rent Allowance (HRA)	40–50% of basic (city-based); tax exempt to applicable limits
Special Allowance	Balancing component
Performance Variable Pay	Annual payout linked to performance rating and company results
Statutory Deductions	EPF employee share (12% of basic), ESI where applicable, professional tax

Salary Payment

Salaries are credited on the last working day of the month. Final settlement on separation is paid within 2 working days of the last working day, as required by the Code on Wages.

Minimum Wages

All employees are paid at least the minimum wages notified by the appropriate government for their establishment type, state, and category. ABC Electronics reviews minimum wage notifications quarterly and updates payroll on the effective date.

Provident Fund (EPF)

- Applicable to all employees (ABC Electronics has 20+ employees)
- Employee contribution: 12% of basic salary
- Employer contribution: 12% of basic salary (split between EPF and EPS)
- Administered through EPFO; UAN (Universal Account Number) is issued at joining

Employee State Insurance (ESI)

- Applicable to employees earning up to ₹21,000 per month
- Employee contribution: 0.75% of gross wages
- Employer contribution: 3.25% of gross wages
- Provides medical, sickness, maternity, and disablement benefits

Gratuity

- Payable on separation after 5 years of continuous service (resignation, retirement, or termination except for misconduct)
- Fixed-Term Employees: Gratuity payable after 1 year of contract service
- Calculation: 15 days' wages x completed years of service
- Must be paid within 30 days of the date it becomes payable
- Funded through a group gratuity scheme

Annual Bonus

- Payable to employees earning within the applicable wage limit
- Minimum bonus: 8.33% of wages earned
- Maximum bonus: 20% of wages earned (linked to performance and profitability)
- Requires minimum 30 days of work in the financial year

Other Benefits

- **Group Medical Insurance:** Floater cover of ₹3 lakhs for employee + spouse + up to 2 children (higher covers available at grade level)
- **Group Term Life Insurance:** Coverage of 3x CTC for all permanent employees
- **Personal Accident Insurance:** Coverage for work-related and personal accidental injury
- **Mobile Reimbursement:** Grade-based (applicable to sales and managerial roles)
- **Fuel Reimbursement:** As per company vehicle / fuel policy (applicable to field roles)

8. Performance Management

Annual Review Cycle

Stage	Timing	Action
Goal Setting	April (start of financial year)	Manager + employee agree on KPIs / OKRs
Mid-Year Review	October	Progress check; flag underperformance early

Year-End Review	March	Ratings finalized; input for increments and variable pay
Increment and VPay	April	Communicated along with revised CTC letter

Ratings Scale

Rating	Description
5 — Outstanding	Significantly exceeds all targets; role model behaviour
4 — Exceeds Expectations	Consistently exceeds targets
3 — Meets Expectations	Achieves targets as expected
2 — Partially Meets	Below target on some areas; improvement needed
1 — Does Not Meet	Significantly below target; PIP required

Performance Improvement Plan (PIP)

- Initiated for any employee rated 1 or after two consecutive ratings of 2
- PIP duration: 60–90 days
- Must include specific improvement targets, support actions, and weekly check-in schedule
- HR must approve PIP before it is shared with the employee
- Three possible outcomes after PIP: confirmed improvement (continue), partial improvement (extended PIP), no improvement (disciplinary action up to termination)

9. Learning & Development

Mandatory Training (All Employees)

- Code of conduct and ethics — within 30 days of joining
- POSH awareness — annually
- Information security and data privacy — within 30 days of joining; annually refreshed
- Health and safety awareness — within 30 days of joining

Role-Specific Training

- Manufacturing: Safety, equipment operation, quality standards, 5S
- Sales: Product knowledge, CRM, objection handling, competitive intelligence
- Customer Service: Product training, warranty knowledge, complaint handling, ERP tools
- Finance and Payroll: Compliance updates, statutory changes, audit readiness

Learning Initiatives

- ABC Learning Hub: Online LMS with self-paced courses
- External certification support: Company sponsors job-relevant certifications (PMP, Six Sigma, domain-specific) with a 2-year service bond condition
- Functional workshops: Conducted quarterly by HR and functional heads

10. Employee Conduct

Core Standards

All employees are expected to:

- Act with integrity and transparency
- Maintain confidentiality of company information, customer data, and business strategies
- Avoid conflict of interest — disclose any interest in a vendor, competitor, or client relationship to HR
- Not accept gifts or hospitality above ₹1,500 in value from any vendor, supplier, or customer
- Represent the company responsibly on social media — do not share confidential information or make claims on behalf of the company without authorization

Equal Pay

ABC Electronics does not discriminate in wages based on gender for the same or similar work. Any employee who believes they are being paid unequally on gender grounds may raise the matter with HR confidentially.

Non-Solicitation

During employment and for 6 months after separation, employees may not solicit ABC Electronics customers or team members for a competing business.

11. POSH & Workplace Behaviour

ABC Electronics has zero tolerance for sexual harassment at the workplace as defined under the Prevention, Prohibition and Redressal of Sexual Harassment at the Workplace Act, 2013.

Prohibited Conduct

Sexual harassment includes any unwelcome physical, verbal, or non-verbal conduct of a sexual nature. Examples include: unwelcome advances, requests for sexual favours, sexual jokes or remarks, sharing inappropriate content, or creating a hostile work environment.

Internal Committee (IC)

ABC Electronics has constituted an Internal Committee at each of its locations with more than 10 employees. The IC includes a presiding officer (senior woman employee), two other employees, and one external member.

IC Contact: IC members' names and contact details are displayed on the HR notice board at each location.

How to File a Complaint

- Written complaint to any IC member or HR within 3 months of the incident (extendable by IC for cause)
- Complaint is treated as strictly confidential
- Complainant may request interim protection (change of reporting, different team) during inquiry
- IC completes inquiry within 60 days and submits report to management

Non-Retaliation

No action may be taken against a complainant for filing a genuine POSH complaint. Retaliation is a separate act of misconduct.

12. Information Security

Core Rules

- Use company systems only for legitimate business purposes
- Do not share passwords; use strong unique passwords and change every 90 days
- Lock your screen when leaving your workstation
- Do not install unauthorized software on company devices
- Do not connect unauthorized USB drives or storage devices to company systems
- Do not send confidential information to personal email accounts

Data Classification

Classification	Examples	Handling
Public	Website content, press releases	No restrictions
Internal	Internal process documents, presentations	Do not share externally
Confidential	HR records, financials, customer data	Encrypted; restricted access
Restricted	Trade secrets, IP, legal matters	Named-person access only

AI and Generative AI Usage

Employees may use approved AI tools to improve productivity. However:

- Do not enter confidential, personal, customer, or financial data into any AI tool not approved by IT
- Do not use AI output in external communications or regulatory filings without human review
- Any AI-assisted output must be checked for accuracy before acting on it

Incident Reporting

Any suspected data breach, unauthorized access, malware, phishing attempt, or loss of a company device must be reported to IT Security immediately. Do not attempt to fix a security incident yourself — report first.

13. Health, Safety & Environment

Employer Duties

ABC Electronics ensures:

- Safe and healthy working conditions at all facilities
- Annual health check-up (free of cost) for all permanent employees
- Clean drinking water, separate toilet facilities, adequate lighting and ventilation
- First aid boxes at all locations
- Fire safety equipment maintained and regularly tested

Accident Reporting

Any workplace accident causing injury, near-miss, or dangerous occurrence must be reported to the Safety Officer and HR within 24 hours. Accidents causing serious injury or death are reported to the prescribed statutory authority in the required form and timeline.

Women's Safety

Women employees may work any shift at ABC Electronics. For shifts before 6:00 AM or after 7:00 PM:

- Consent is required
 - Drop facility or transport arrangement is provided
 - A designated safety officer or HR contact is on call during late-shift hours
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14. Travel Policy

Eligibility and Approval

All business travel requires pre-approval from the reporting manager. International travel additionally requires Business Head approval.

Travel Entitlements

Grade	Air Travel	Hotel	Per Diem (Domestic)
Band A (VP+)	Business class (international) / Economy (domestic)	≤₹7,000/night	₹1,200/day
Band B (Manager–Senior Manager)	Economy	≤₹5,000/night	₹900/day
Band C (Executive–AM)	Economy	≤₹3,500/night	₹700/day

Booking

- Book through the company travel desk or approved travel portal
- Lowest logical fare applies — premium fares require justification
- Personal travel extended on a business trip is permissible but the personal portion is at the employee's cost

Expense Reimbursement

- Submit expense claim within 7 working days of returning from travel
 - Attach all receipts above ₹200
 - Manager approval required; Finance processes within 10 working days of claim submission
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15. Disciplinary Process

Minor Misconduct (examples)

- Repeated late arrival
- Casual leave without approval
- Minor policy violations

Process: Verbal warning → Written warning → Final written warning

Major Misconduct (examples)

- Theft or fraud
- Physical or verbal abuse of a colleague

- Falsification of records or expense claims
- Sexual harassment
- Disclosure of confidential company information
- Being under the influence of alcohol or narcotics at the workplace

Process for Major Misconduct:

1. Preliminary fact-finding
2. Suspension pending inquiry (if required for investigation integrity)
3. Show-cause notice — employee has 5 working days to respond
4. Domestic Enquiry conducted by appointed enquiry officer
5. Enquiry report reviewed by HR and Business Head
6. Decision: Warning / Suspension without pay / Demotion / Termination
7. Appeal: Employee may appeal within 10 working days to the HR Head

16. Separation Policy

Resignation and Notice Period

Grade	Notice Period
Band A (VP+)	3 months
Band B (Manager–Senior Manager)	2 months
Band C (Executive–AM)	1 month
Probationary employees	1 month

Notice may be waived by mutual agreement. Notice buyout is allowed in exceptional cases at cost-to-company.

Retirement

Retirement age at ABC Electronics is 60 years. Employees retiring are entitled to full gratuity, leave encashment, and a recognition award per the retirement policy.

Final Settlement

- Gratuity (if eligible): Within 30 days of last working day
- Leave encashment: Paid in full-and-final settlement
- Final salary (including variable pay earned): Within 2 working days of last working day
- Relieving letter and experience letter: Issued within 7 working days of last day, after clearance

Exit Process

1. Submit resignation in writing to reporting manager and HR
2. Serve notice period (or pay notice buyout)
3. Complete handover — document key responsibilities, ongoing projects, and contacts
4. Return all company assets (laptop, ID card, access card, mobile/SIM if issued)
5. Sign off on clearance checklist (IT, Finance, Admin, HR)
6. Exit interview with HR
7. Receive relieving letter and experience letter

17. Statutory Compliance

Applicable Labour Laws

ABC Electronics complies with the four central labour codes:

- Code on Wages, 2019
- Occupational Safety, Health and Working Conditions Code, 2020
- Code on Social Security, 2020
- Industrial Relations Code, 2020

These codes were made effective from 21 November 2025. During the transition period, relevant provisions of existing labour acts continue to apply.

Regular Compliance Actions

Area	Action	Frequency
EPF returns	EPFO portal filing	Monthly
ESI returns	ESIC portal filing	Monthly
Minimum wage revision	Review and update payroll	On notification
Professional tax	Deduction and deposit	Monthly (state-specific)
Attendance and wage registers	Maintained in prescribed form	Ongoing
Annual returns	Filed with Labour Department	Annually
Accident register	Updated on each incident	As required

State-Specific Compliance

Shops and Establishments registrations, state-specific holiday lists, and additional leave entitlements vary by state. HR maintains state-specific annexures for all ABC Electronics operating locations.

18. HR FAQs

Joining and Onboarding

Q: What documents do I need to bring on Day 1?

A: Please bring originals and photocopies of: PAN card, Aadhaar, all educational certificates, last 3 months' salary slips, previous employment relieving letter, 2 passport-size photographs, and a cancelled cheque or bank passbook for salary account setup.

Q: How long is the probation period?

A: 6 months for all new joiners, with a possible extension of up to 3 months.

Q: When will I receive my EPF UAN?

A: Your UAN is generated within 7 working days of joining and shared by the payroll team. You will need this for linking your EPF account.

Leave

Q: How many casual leaves do I get per year?

A: 8 days of Casual Leave per financial year. Casual leave does not carry forward and is not encashable.

Q: What is the maternity leave entitlement?

A: Eligible women employees (minimum 80 working days' service in the preceding 12 months) receive 26 weeks of paid maternity leave. HR must be notified at least 8 weeks before the expected delivery date for planning purposes.

Q: Can I carry forward earned leave?

A: Yes, up to 30 days of Earned Leave can be carried forward to the next financial year. Earned leave is encashable at separation.

Q: What happens if I fall sick while on casual leave?

A: If a medical certificate for hospitalization or serious illness is submitted, HR may convert casual leave to sick leave on request.

Payroll and Benefits

Q: When is salary credited?

A: On the last working day of the month.

Q: How do I access my payslip?

A: Payslips are available on the HR self-service portal. You will receive a login after your first month.

Q: When am I eligible for gratuity?

A: After 5 years of continuous service with ABC Electronics. Fixed-term employees are eligible after 1 year of contract service.

Q: How do I add my family to the group medical insurance?

A: Submit the family enrolment form to HR within 30 days of joining or marriage/childbirth. Mid-year additions are not permitted except for marriage and childbirth.

Q: What is the variable pay structure?

A: Variable pay is based on your performance rating and the company's annual results. It ranges from 0% (for ratings below 2) to 15–20% of the eligible amount (for outstanding performers). Exact percentages are communicated at the start of each appraisal cycle.

Separation

Q: How do I resign?

A: Submit a formal resignation email to your reporting manager and mark HR (hr@abcelectronics.in). Your notice period starts from the date of acknowledgement by HR, not the date of the resignation email.

Q: Can I get my notice period waived?

A: Notice buyout is possible in exceptional cases. Discuss with HR — approval requires the Business Head's sign-off, and the equivalent notice-period salary is deducted from full-and-final settlement.

Q: When will I receive my final settlement?

A: Salary for days worked is credited within 2 working days of your last working day. Gratuity (if eligible) is processed within 30 days. Leave encashment and other dues are included in the full-and-final settlement statement.

19. Appendix

Leave Entitlement Quick Reference

Leave Type	Per Year	Carryforward	Encashment
Earned Leave	15 days	Up to 30 days	On separation
Casual Leave	8 days	None	No
Sick Leave	7 days	Up to 15 days	No
Maternity	26 weeks	N/A	No
Paternity	5 days	No	No
Bereavement	3 days	No	No
Marriage	3 days (once)	No	No

Statutory Compliance Quick Reference

Requirement	Threshold	Rate
EPF	20+ employees	12% employee + 12% employer (of basic)
ESI	10+ employees	0.75% employee + 3.25% employer (of gross)
Gratuity	10+ employees	15 days' wages × years of service
Maternity Benefit	All establishments	26 weeks paid leave
Minimum Wages	All establishments	As notified by appropriate government
Annual Bonus	As per Bonus Code	Min 8.33%, max 20% of eligible wages
Overtime	All workers covered under OSH&WC	2× normal wage

HR Contact Directory

Function	Contact
HR Helpdesk (general queries)	hr@abcelectronics.in
Payroll queries	payroll@abcelectronics.in
Benefits and insurance	benefits@abcelectronics.in
POSH complaints	ic@abcelectronics.in
Recruitment	careers@abcelectronics.in
HR Head	Available through HR helpdesk